1. B. Option Adjusted Spread
2. B. Negative Convexity
3. B. Curtailment
4. C. Generic pool parameters such as coupon and settlement
5. B. Eligibility for cash-out refinancing
6. B. Higher prepayment speeds during peak home-moving seasons
7. C. $\sigma \sqrt{t}$
   For Brownian motion with drift, $X(t) = X(0) + \mu t + \sigma W(t)$. Since $W(t) \sim N(0, t)$, the variance of $X(t)$ is $Var[X(t)] = \sigma^2 t$, so the standard deviation (dispersion) is $\sigma \sqrt{t}$.

8. B. $Z \sim N(a\mu_1 + b\mu_2, a^2\sigma_1^2 + b^2\sigma_2^2)$
9. A. Lower than the 10Y rate
10. C. Decrease in the forward 10Y swap rate